STRATEGIC BUSINESS MANAGEMENT AND LEADERSHIP

Time allowed- 3:30 hours
Total marks- 100

May - 2026

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Bangladesh has several key ports, with the Port of Chittagong being the most significant for the export and import. Although the Port was originally designed for a certain number of TEUs (Twenty-Foot Equivalent Units) per year, rising trade volumes have pushed demand to nearly double TEUs, creating severe congestion and operational strain. Vessel turnaround times average close to 50 hours. In the bulk and general cargo segment, the Port handles commodities such as fertilizer, clinker, steel, and food items where productivity is often hindered by aging conveyor systems and equipment breakdowns.

Hinterland connectivity between the Port and other cities remains a major bottleneck. Most cargo moves by road routinely facing long truck queues and limited night-time movement. Rail carries only a small portion of throughput, and although Bangladesh's inland waterways offer significant potential, siltation and limited draft have prevented their effective use. On the administrative side, the port has adopted a partial digital port system, yet many clearing agents still rely on paper and manual documentation, which further slows cargo processing.

Capacity constraints are increasingly evident, with berth occupancy exceeding 75% during peak periods, yard congestion forcing off-dock storage and draft limitations requiring reliance on feeder services via hubs such as Singapore and Colombo. The Port is also facing enhanced global pressures. Shipping alliances continue to deploy larger vessels that the Port cannot facilitate which increases costs and slows operations. Bangladesh's exports are also affected by rising demands for greener logistics from international buyers. Meanwhile, nearby countries are upgrading their ports, making the region more competitive.

Despite these obstacles, the Port presents strong opportunities for national and regional development. The government is planning a Special Economic Zone (SEZ) adjacent to the port to attract manufacturing, cold storage, assembly, and agro-processing industries. Public–Private Partnership (PPP) proposals aim to modernise berths, introduce automated gate systems, and expand the on-dock rail terminal. Significant investor interest is emerging in renewable energy solutions that could reduce the port's carbon footprint. Furthermore, national dredging programs may allow the port to shift up to 20–25% of its cargo to inland waterways to improve logistics efficiency.

Economically, the port is a critical pillar of Bangladesh's growth. It indirectly supports between four and five million jobs through its connection to export industries, contributes nearly 6-8% of national GDP. As Bangladesh continues expanding its manufacturing and export capacity, the efficiency and modernization of the Port will be paramount to sustaining the country's economic momentum.

Recently, Bangladesh has taken a significant step toward strengthening its maritime and trade infrastructure with the signing of a USD 550 mn concession agreement for the development of the Laldia Container Terminal in Chattogram, one of the largest Public Private Partnership investments in the country's history. The agreement, signed between the Chittagong Port Authority (CPA) and APM Terminals – part of A.P. Moller-Maersk – along with a local partner, grants the operator a 30-year operating concession, extendable based on key performance indicators. The terminal, fully designed, financed, built, and operated by the investors, represents Bangladesh's first green port and the largest European foreign direct investment in the country.

As part of the Sustainable Green Framework Engagement between Denmark and Bangladesh, the project underscores a landmark collaboration that combines international expertise and Bangladeshi entrepreneurship to deliver sustainable growth, modernize port infrastructure and strengthen trade flows ahead of Bangladesh's graduation from LDC status.

Requirements:

i) How can the Port remain competitive amid global shipping alliances and upgraded regional ports? 3

ii) What are the key risks and opportunities of using PPPs to modernize port infrastructure while protecting public interests? 3

iii) Briefly list out 5 KPIs metrices that both grantor and operator will be interested in to measure performance periodically. 4

b) After several years of inconsistent financial performance, the board of Bitr Holdings Ltd., a large Bangladeshi conglomerate overseeing 33 sister concerns across manufacturing, trading, logistics, and real estate etc. has appointed a new Deputy Managing Director, Mr. Hoque — bringing hands-on leadership experience from leading brands from home and abroad.

In his inaugural address, Mr. Hoque emphasised that inefficiencies, high operating costs and poor coordination among companies have significantly weakened overall profitability. Although some entities are performing well, the group continues to incur losses due to weak consolidation, duplication of efforts and ineffective resource allocation. He has outlined a clear agenda to restructure and modernise operations.

Resistance to change has already surfaced, with several long-serving senior managers hesitant to adopt new systems or move away from established practices. Most operations remain heavily reliant on manual processes, with record-keeping, reporting, procurement and inventory management being largely paper-based or maintained in disconnected spreadsheets — resulting in errors, delays and reduced transparency.

Integration across the group is minimal. Information silos persist, and collaboration between the concerns is rare, leading to missed opportunities for cost optimization, cross-selling and strategic alignment. Externally, competition is intensifying from more technologically advanced and integrated local and international players. At the same time, customers increasingly demand faster service, consistent quality and digital engagement, while regulatory requirements in Bangladesh continue to evolve rapidly. Operational issues are also evident, including delivery delays, inconsistent product quality, and declining customer satisfaction. Despite this, some senior personnel remain complacent, viewing such challenges as routine.

A key pillar of Mr. Hoque's strategy is the implementation of a fully integrated enterprise system across all the concerns, covering inventory, procurement, financial reporting, ERP and CRM among other strategies. This initiative aims to automate processes, improve data accuracy, enable real-time decision-making and strengthen collaboration, ultimately enhancing overall efficiency and profitability.

Requirements:

i) Analyse the forces for and against the change at Bitr Holdings Ltd. 4

ii) Recommend to Mr. Hoque how he might best manage the change process in the new role. 4

2. a) Ministry of Civil Aviation & Tourism (MOCAT) permitted Bangla Airlines Ltd. to provide twice weekly direct flights between Dhaka and Jakarta, Indonesia. The introduction of this service has been well advertised as 'efficient and timely' in national newspapers. The journey time between Dhaka and Jakarta, Indonesia is expected to be significantly reduced, so as to encourage tourism and business development opportunities in Jakarta, Indonesia. Bangla Airlines operates a refurbished 15 years old 737 Boeing aircraft which is leased from an international airline and registered with the MOCAT. The MOCAT requires that engines be overhauled in every three years. Engine overhauls are expected to put the aircraft out of commission for several weeks. The aircraft is configured to carry 15 Business Class and 150 Economy Class passengers. The aircraft has a package to reserve holding capacity for Jakarta, Indonesia's numerous horticultural growers (e.g. of cocoa, cashew and fruits) and general cargo.

The six-hour journey offers an in-flight movie, a meal, hot and cold drinks and tax-free shopping. All meals are prepared in Dhaka under a contract with an airport catering company. Passengers are invited to complete a 'satisfaction' questionnaire which is included with the in-flight entertainment and shopping guide. Responses received show that passengers are generally least satisfied with the quality of the food – especially on the Jakarta, Indonesia to Dhaka flight. Bangla Airlines employs ten full-time cabin crew attendants who are trained in air-stewardship including passenger safety in the event of accident and illness. Flight personnel (the captain and co-pilots) are provided under a contract with the international airline from which the aircraft is leased. At the end of each flight the captain completes a timesheet detailing the crew and actual flight time. Bangla Airlines was incorporated in Bangladesh in 2010 and started operation on July 17, 2014. Ticket sales are made by Bangla Airlines on line and travel agents in Indonesia and Bangladesh. On a number of occasions, Economy seating has been over-booked. Customers who have been affected by this have been accommodated in Business Class as there is much less demand for this. Ticket prices for each class and category depend on many factors, for example, whether the tickets

are refundable/non-refundable, exchangeable/non-exchangeable, one-way or return, mid-week or weekend, year-end and the time of booking. Bangla's insurance cover includes passenger liability, freight/baggage and compensation insurance. Premiums for passenger liability insurance are determined on the basis of passenger miles flown.

Requirements:

i) Identify and explain business risks facing Bangla Airlines. 7

ii) Describe how the risks identified in (a) could be managed and maintained at an acceptable level by Bangla Airlines. 7

b) A global food delivery subsidiary entered the Bangladesh market in April 2019, aiming to capitalize on the country's growing demand for online food delivery services. However, the platform faced intense competition from established players such as Foodpanda and Pathao, which already had strong market presence and local operational advantages.

In the beginning, the Company started their operations in Dhaka with large and popular restaurants and expanded later to Chattogram district having quick access to required capital being a global giant's subsidiary.

The business model required heavy discounts, high logistics costs, and significant marketing expenditure, which were difficult to sustain. Despite initial growth efforts, the Company failed to differentiate itself from competitors, resulting in limited loyal customer base.

In April 2026, the shareholders decided to cease operations in Bangladesh.

Requirements:

Critically analyse the strategic exit decision along with the underlying key reasons. 4

3. a) Exchange rate volatility creates foreign exchange risk for any company involved in buying, selling, borrowing or investing in foreign currency. MGH faces foreign currency risk because it imports and pays for its products in the United States dollars. Foreign currency risk can be classified into three types of risks.

Requirements:

State and explain the specific type of foreign currency risk that MGH may be exposed to in each of the following situations:

i) MGH products are becoming expensive due to exchange rate instability/volatility; 2

ii) foreign suppliers granting MGH 90 - 120 days of credit; and 2

iii) MGH consolidating the financial statements of Sri Lanka subsidiary when it becomes operational. 2

b) Nova Energy Ltd, a Bangladeshi renewable energy company, is considering investing BDT 200 mn in a new utility-scale solar power project to support the country's transition toward clean energy. The project is expected to sell electricity to the national grid under a potential government tariff and subsidy framework, which is currently still under review.

The renewable energy sector in Bangladesh is experiencing significant uncertainty, driven by:

- Fluctuating global energy prices
- Possible revisions in government subsidies and feed-in tariffs
- Increasing competition from hybrid and alternative energy solutions

Using traditional DCF analysis, the project yields a negative NPV of BDT –15 mn, leading senior management to conclude that the project should be rejected as it does not meet the company's financial criteria and will not add value to the shareholders expected ROI.

However, during the board meeting, the CEO highlighted that the DCF approach may undervalue strategic investments under uncertainty, emphasizing that "a project can be accepted even with a negative NPV". It requires managerial flexibility and forward-looking approach. However, senior management has asked the CEO to explore embedded real options.

Identified embedded real options:

Option to delay:

The Company can postpone the investment for up to 2 years while monitoring regulatory developments, including potential changes in government subsidies, tariff structures, and renewable energy incentives, as well as trends in global energy prices.

Option to expand:
If initial operations are successful and demand for clean energy increases, the company can invest an additional BDT 100 mn after 3 years to expand generation capacity. The expected present value of the expansion cash flows is BDT 140 mn, suggesting significant upside potential.

Option to abandon:
If the project underperforms due to adverse market or policy conditions, the company can abandon the project after 2 years and recover a salvage value of BDT 120 mn, thereby limiting downside risk.

Option to switch (redeploy):
The plant is designed with flexible technology, allowing it to switch between solar-only and hybrid (solar + alternative fuel) energy generation, depending on relative energy prices and input costs. This flexibility enables the company to optimize operations under changing market conditions.

Requirements:

i) Discuss how the option to delay and to switch (redeploy) could influence the investment decision, despite the negative NPV. 4

ii) Do you support the CEO's statement 'a project can be accepted even with a negative NPV'? 2

c) Geopolitical tensions in the middle east are significantly disrupting global business and triggering a financial crisis through multiple channels. The most immediate effect is an oil supply shock via the Strait of Hormuz, causing sharp rises in energy prices. This increases production and transportation costs, leading to global inflation. Central banks may raise interest rates, reducing investment and consumption. Simultaneously, supply chain disruptions and financial market volatility weaken business confidence. The combined effect of high inflation and low growth creates stagflation, placing severe pressure on economies and increasing the risk of a global financial crisis.

Requirement:
Discuss the impact of geopolitical tensions on the overall global financial system. 4

4. a) A parent company in Bangladesh, Tasnia Global Ltd., has four subsidiaries in China (CN), Indonesia (ID), UAE (AE) and Qatar (QA). The group engages in frequent intercompany transactions involving raw materials, logistics and services.

At 31 December 2025, the following intercompany balances exist:

Debtor	Creditor	Amount
CN	ID	USD 420,000
CN	AE	AED 900,000
ID	QA	USD 310,000
AE	CN	CNY 2,800,000
QA	AE	AED 650,000
ID	CN	CNY 1,900,000
AE	ID	USD 150,000

Additional Information:

- The group operates a centralized treasury system in Bangladesh and all settlements must be routed through the parent company.
- The group policy is to maximize multilateral netting and settle only the net positions in BDT.
- Some subsidiaries have both payables and receivables with the same counterparty in different currencies, requiring currency conversion before netting.

The base currency is Bangladeshi Taka (BDT). The treasury uses the following exchange rates:

- USD 1 = BDT 112
- CNY 1 = BDT 15.50
- AED 1 = BDT 30.50

Requirements:

i) Calculate the net payable or receivable position of each subsidiary after applying multilateral netting. 5

ii) Explain whether payment netting off is allowed under foreign exchange regulations in Bangladesh. Suggest one possible solution. 3

b) In an option forward exchange contract - what happens if either party cannot satisfy a forward contract? 2

c) A Bangladeshi company, Dhaka Energy Imports Ltd., imports crude oil from Middle Eastern suppliers and makes payments in US dollars (USD).

In early 2026, the escalation of the Iran war led to a sharp increase in global oil prices and significant volatility in foreign exchange markets. The US dollar strengthened as a safe-haven currency, while many developing country currencies, including the Bangladeshi Taka (BDT), weakened. At the same time, Bangladesh experienced rising demand for dollars due to higher import bills, putting additional pressure on the local currency.

As a result, the Company faced transaction exposure because its future USD payments became more expensive in BDT terms. For example, a payment of $1 mn required significantly more Taka after the exchange rate depreciated. This increased the company's import costs and reduced profitability.

Requirement:

What are the direct risk reduction methods the Company can adopt to mitigate currency exposure? 3

5. Exim Bangladesh Ltd. is a conglomerate which operates in different sectors of the economy. The company has many subsidiaries and associates across the six continents of the world and its head office is located in Dhaka, Bangladesh. The shares of the company are listed on the Dhaka Stock Exchange.

The company is trying to finalize its financial statements for the year ended June 30, 2025 and the following accounting issues are being considered by the chief accountant based on the submission by the assistant accountant who is yet to complete her professional examinations with the Institute of Chartered Accountants of Bangladesh. The functional and presentation currency of Exim Bangladesh Ltd. is Taka. The following transactions relate to the company:

i) On May 1, 2024, Exim Bangladesh Ltd. bought an investment property in United States for $1,000,000. The company uses fair value model of IAS 40 to account for the investment property and the fair value at April 30, 2025 is determined to be $1,200,000. The assistant accountant is unsure which exchange rate to use in translating the investment property at the year end and how to recognize any exchange difference that may arise.

ii) On May 1, 2024, Exim Bangladesh Ltd. acquired a wholly owned subsidiary in United States of America. The goodwill that arose on the acquisition of this subsidiary is $400,000.

In addition, the company invested in an equity instrument on the same date which is measured at fair value through other comprehensive income (OCI) in accordance with the requirements of IFRS 9.

Requirements:

a) In accordance with the requirement of IAS 21: Effect of Changes in Foreign Exchange Rates, discuss the treatment of foreign currency transactions and the gain or loss arising therefrom. 5

b) Discuss how the transaction in (a) will be accounted for in the financial statements of Exim Bangladesh Ltd. for the year ended June 30, 2025 in accordance with IAS 21 5

c) Discuss how the transaction in (b) will be accounted for in the financial statements of Exim Bangladesh Ltd. for the year ended June 30, 2025 in accordance with IAS 21. 5

6. a) Qatar Energy, a major state-owned energy producer, experienced a sudden and severe operational disruption after a large fire destroyed one of its key gas-processing units. The incident halted production in the affected plant, damaged critical assets and triggered emergency shutdown procedures across adjacent facilities.

The recent geopolitical tensions in the middle east is estimated to have wiped out 17% of Qatar's LNG capacity for up to five years. Qatar's 14 LNG trains and one of the two gas-to-liquids (GTL) facilities of the Company were damaged in the strikes. The repairs will sideline 12.8 mn tons per year of LNG for three to five years. The company will have to declare force majeure on long-term contracts for up to five years for LNG supplies bound for Italy, Belgium, South Korea, and China due to the two damaged trains. This translates to have an estimated $20 bn of loss in annual revenue.

Requirement:

Define "force majeure" event. Discuss the audit implications and key additional audit procedures one may consider in such circumstances. 6

b) During the audit of MST Ltd, the engagement team identifies three misstatements, all of which understate net income of the Company. Engagement team communicates the misstatements to management. Management understands and records all the observations. However, they also notify to the engagement team that management has identified two other misstatements where expenses that have been recorded during the period, should have been recorded in the following period. These two misstatements significantly offset the effect of the three misstatements the engagement team identified.

Engagement team was not able to conclude, hence escalated the matters to the engagement manager and partner. Apart from these observations, audit teams have some uncorrected misstatements that were below the tolerable limits of the materiality benchmark.

Requirements:

i) Discuss the audit procedures the engagement team should perform upon being notified by the management of the two other misstatements. 2

ii) What are the methods auditors use to quantify and evaluate the effect of uncorrected misstatements in the financial statements? 2

7. a) Offering a necessary framework for maintaining transparency and integrity — while also making progress toward key business objectives — corporate governance plays a powerful role in supporting ethical practices and helping businesses live up to their full potential.

Although they represent separate priorities, business ethics and corporate governance are inextricably linked. Both must be purposefully built into compliance programs, not to mention aligned with corporate visions and objectives.

Requirement:

What are the key challenges in upholding ethics in corporate governance 5

b) You are the newly appointed Financial Controller (FC) of Korotawa Agro Ltd (KAL), a rapidly growing agribusiness headquarters in Dhaka, with few subsidiaries. The company is preparing for a listing on the Dhaka Stock Exchange and is close to securing a BDT 1 billion sustainability-linked loan from international lenders. To support both initiatives, the company is placing strong emphasis on its financial performance and ESG credentials, closely monitored by auditors, regulators and investors.

During the year-end reporting process, several issues arose that raise serious ethical and professional concerns under IFRS Accounting standards and the Code of Ethics and Conduct of the IFAC & the ICAB.

First, revenue from a major export contract has been recognized, even though the goods have not been shipped or cleared up by customs at year-end. Under IFRS 15: Revenue from Contracts with Customers, revenue should only be recognized when control has been transferred. The CFO dismisses the concern, calling it a "minor timing issue" that will reverse next year, though the recognition materially inflates profits and affects loan eligibility.

Second, internal emails reveal that pesticide contamination from a mango facility may lead to fines or environmental restoration costs. Legal advice indicates a likely obligation, yet no provision or disclosure has been made. Under IAS 37: Provisions, Contingent Liabilities and Contingent Assets, such obligations should be recognized if probable and measurable. The CEO instructs you to stay silent, arguing the issue is not yet material and could delay the loan process.

Third, the ESG report which is being prepared for public release and external assurance includes overstated figures on carbon emission reductions and gender diversity. The Sustainability Officer privately admits that some metrics were "adjusted" to align with expectations. These metrics are key to both the loan conditions and IFRS S2 compliance. You are expected to approve the report despite knowing the data is inaccurate.

When you raise your concerns, leadership downplays them as "unnecessary drama" and urges you to stay aligned "until the deal is done." With the Audit Committee meeting approaching, you face a dilemma: stay silent, escalating, or step aside.

Requirement:

Identify key ethical issues you are facing as the FC at KAL, with reference to the fundamental ethical principles in the Code of Ethics and Conduct of the IFAC & the ICAB. 5

---The End---